9.10 Taxes

Welcome to the last part of this chapter, where we discuss taxes. We first need to determine the effective tax rate for the company. This means the part of profit before tax that the company pays as a tax expense. We get this by dividing current tax expense by profit before tax.

Effective tax rate = Current tax expense / Profit before tax

Upon converting the numbers into percentages. It we can see that the company's effective tax rate has been around 30%. It decreased to around 22% recently. This is due to the fact that the government had reduced the corporate tax rate in FY19-20.

Taxes						
Effective Tax Rate	29.3%	31.0%	29.0%	30.4%	22.9%	26.0%
Income Tax Paid/ Current Tax	0.94	0.97	1.09	0.99	1.13	0.94
Check for any significant tax credit, advance						
Net DTA w.r.t Total Assets	0.1%	0.1%	0.1%	0.2%	0.2%	0.2%
Net DTL w.r.t Total Assets	2.2%	1.9%	2.1%	2.0%	1.3%	4.5%

The effective tax rate of a company should be close to the corporate tax rate of the economy. If the effective tax rate numbers are too high or low compared to the corporate tax rate, we need to ask questions.